Centrus Energy (LEU)

Only US HALEU Producer

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*Only US HALEU Producer. Centrus runs the only NRC-licensed HALEU production in the US, backed by a $900M DOE award [Q2 PR]. Three of four advanced reactors reaching criticality ran on its fuel [Q2 call]. That is a genuine chokepoint in the SMR supply chain. Contracted Growth. $4.5B backlog through 2040 with definitive deals from X-energy, Radiant, and Antares Nuclear that include customer prepayments [8-Ks]. Demand is contracted; the job now is building the cascades to deliver it. Pessimism Priced In. At $114.94 [Mkt 16-Oct-26], the market implies a 1% revenue CAGR, below our 5% bear case [DCF model]. DCF base $134.22 implies 17% upside. The stock is down 53% YTD mostly on dilution fears, not demand loss. Our framework screens it as a **Hold** with a $133.62 blended target, 16% above the current price.*

HOLD	$133.62	+16%	$114.94
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

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Executive summary

Contracted Growth. $4.5B backlog through 2040 with definitive deals from X-energy, Radiant, and Antares Nuclear that include customer prepayments [8-Ks]. Demand is contracted; the job now is building the cascades to deliver it.

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$176.1M	$49.9M	$16.8M	$1.77	$4.5B	$450-500M
REVENUE (Q2 2026)	GROSS PROFIT (Q2)	NET INCOME (Q2)	ADJ EPS (Q2)	BACKLOG (THRU 2040)	FY2026 REVENUE GUIDE

The moat is structural

$900M DOE HALEU task order signed July 2026, funding 12 MT/year of capacity

Three scenarios make the valuation range explicit

The DCF values Centrus Energy across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$90.05**	-22%
Base	50%	**$130.74**	+14%
Bull	25%	**$182.97**	+59%

Bear ($90.05, -22%): Growth disappoints and multiples compress; the $90.05 target marks the downside case.

Bull ($182.97, +59%): Execution compounds and the multiple rerates; the $182.97 target marks the upside case.

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The probability-blended target implies +16% upside

Blended target: $133.62 per share

A 25% Bear / 50% Base / 25% Bull weighting implies +16% upside from the $114.94 reference price.

$133.62

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

P/E (TTM) 29.2x [Mkt 16-Oct-26] DCF Base $134.22 [DCF model] PEG 2.87 [Mkt 16-Oct-26] DCF implies 17% upside but 29x P/E is full for lumpy, government-tied earnings.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $133.62 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

$900M DOE HALEU task order signed July 2026, funding 12 MT/year of capacity [Q2 PR]

Definitive HALEU supply deals with X-energy, Radiant, Antares Nuclear, all with customer prepayments [8-Ks]

Only NRC-licensed US HALEU producer; 3 of 4 advanced reactors hitting criticality ran on its fuel [Q2 call]

$4.5B backlog through 2040 ($3.7B LEU, $0.8B Technical Solutions) [Q2 PR]

What to monitor

Nov 4, 2026. Q3 2026 Earnings (Two-Sided): EPS est $0.01, revenue est $65.3M. Quarterly revenue is lumpy; the number to watch is backlog conversion.

End 2026. Oak Ridge Milestone (Positive): First new centrifuge completion at Oak Ridge, TN. De-risks the capacity build-out.

2027-2030. HALEU Commercial Ramp (Positive): X-energy, Radiant, Antares contracts with customer prepayments start delivering toward 2030.

$176.1M	$49.9M	$16.8M	$1.77
REVENUE (Q2 2026)	GROSS PROFIT (Q2)	NET INCOME (Q2)	ADJ EPS (Q2)

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Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME
2025	$449M	$118M	$78M
2024	$442M	$112M	$73M
2023	$320M	$112M	$84M
2022	$294M	$118M	$52M

Key risks

Dilution and Capital Intensity. ~$500M equity and warrant offering in September 2026 diluted holders; FY2026 capex guide of $350-500M and negative model FCF through 2027 mean more funding needs are possible. [8-K Sep 2026]

Government Funding Dependence. The HALEU cascade work is government-funded; DOE chose not to extend the existing cascade contract. Awards and prepayments depend on federal budgets and policy priorities. [Q2 PR]

Contingent Backlog. About $3.0B of the $4.5B backlog is contingent LEU and HALEU sales tied to the Piketon expansion ($2.4B definitized). Delays in the build-out push contracted revenue further out. [Q2 call]

Lumpy Revenue. Q1 2026 revenue was $76.7M vs Q2 at $176.1M. Shipment timing drives big swings, so any single quarter can miss badly and earnings are hard to model. [10-Q Q2 2026]

Investment view

Q3 earnings on Nov 4 and the year-end Oak Ridge centrifuge completion are the near-term swing factors. A funded, on-schedule HALEU ramp would push toward the bull case ($188); further equity raises or DOE funding cuts would test the bear ($92).

Hold. The $133.62 blended target implies +16% upside, balancing the $90.05 / $130.74 / $182.97 Bear / Base / Bull targets.

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Upcoming catalysts

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